BCH 205 Indian Economy & Public Finance — End-Sem Important Questions (15 Marks)

How this is organized

One high-probability 15-mark question from each unit, with answer points expanded to cover minor sub-points for exam writing.

Unit I — Important Question

Q1. Explain the basic structure of the Indian economy. Discuss poverty, unemployment, inflation, and the role of NITI Aayog in economic planning.

Answer

1. Meaning and structure of the Indian economy

The Indian economy is a **developing mixed economy** where both the **public sector** and **private sector** operate together.

Main structural features

- **Agriculture-based origin**: A large share of the population traditionally depends on agriculture.
- **Mixed economy**: Industries are run by private firms as well as government enterprises.
- **Large population**: India has a huge labour force and consumer base.
- **Regional imbalance**: Some states are highly industrialized while others remain backward.
- **Income inequality**: Unequal distribution of wealth exists.
- **Service sector growth**: Banking, IT, telecom, education and health have expanded rapidly.
- **Infrastructure gaps**: Transport, power, irrigation and logistics remain uneven.

2. Poverty in India

Poverty means inability to satisfy **minimum basic needs** such as food, shelter, clothing, health and education.

Causes of poverty

- Low agricultural productivity
- Rapid population growth
- Unemployment and underemployment
- Unequal distribution of land and wealth
- Low level of industrial development
- Inflation reducing purchasing power

Effects of poverty

- Malnutrition
- Low standard of living
- Poor health conditions
- Child labour
- Low human capital formation

Remedies

- Employment generation
- Land reforms
- Skill development
- Rural development programmes
- Better access to education and healthcare

3. Unemployment in India

Unemployment means willingness to work but inability to find work.

Types

- **Open unemployment** – no job at all
- **Disguised unemployment** – more workers than required, common in agriculture
- **Seasonal unemployment** – employment only in certain seasons
- **Educated unemployment** – educated persons unable to find suitable jobs

Causes

- Population growth
- Slow industrial growth
- Defective education system
- Capital deficiency
- Dependence on agriculture

Remedies

- Industrial expansion
- Promotion of MSMEs
- Vocational education
- Labour-intensive production methods

4. Inflation

Inflation means a sustained rise in the general price level.

Causes

- Excess demand

- Increase in money supply
- Rise in production cost
- Supply shortages
- Hoarding and speculation

Effects

- Decline in purchasing power
- Hardship for fixed-income groups
- Encouragement to speculation
- Disturbance in savings pattern

Remedies

- Monetary control by RBI
- Fiscal discipline
- Increase in production
- Efficient public distribution system

5. NITI Aayog

NITI Aayog replaced the **Planning Commission** in **2015**.

Objectives

- Cooperative federalism
- Policy think tank for long-term planning
- Promote innovation
- Balanced regional development
- Sustainable development

Functions

- Policy formulation
- State participation in planning
- Monitoring government programmes
- Data-based policy recommendations

Conclusion

India is a developing economy with major strengths and major structural challenges. Poverty, unemployment and inflation remain central issues, while NITI Aayog plays an important role in policy direction.

Unit II — Important Question

Q2. Explain economic reforms of 1991. Discuss privatization, globalization, and the Green Revolution.

Answer

1. Background of 1991 reforms

India faced:

- Balance of payments crisis
- Fiscal deficit
- Low foreign exchange reserves
- Low industrial growth

2. Objectives of reforms

- Increase efficiency
- Encourage competition
- Integrate with world economy
- Reduce state control

3. Main components

Liberalization

- Removal of licensing restrictions
- Reduction in government controls
- Easier entry for private firms

Privatization

- Transfer of ownership or management from public sector to private sector

Importance

- Better efficiency
- Reduction in government burden
- Higher competition
- Better use of resources

Globalization

- Integration with world economy through trade and investment

Effects

- Rise in foreign investment

- Technology transfer
- Expansion of exports
- Greater competition for domestic firms

4. Green Revolution

The Green Revolution refers to rapid increase in agricultural production through modern techniques.

Features

- HYV seeds
- Irrigation expansion
- Fertilizers and pesticides
- Mechanization

Achievements

- Increase in foodgrain production
- Improvement in food security
- Higher agricultural productivity

Limitations

- Regional inequality
- Benefit concentrated among large farmers
- Environmental damage

Conclusion

The 1991 reforms changed India from a controlled economy into a more market-oriented economy. The Green Revolution strengthened food production but created some inequalities.

Unit III — Important Question

Q3. Define public finance. Explain sources of public revenue, canons of taxation, and the principle of maximum social advantage.

Answer

1. Meaning of public finance

Public finance studies the **income, expenditure and borrowing activities of government**.

2. Scope of public finance

- Public revenue
- Public expenditure

- Public debt
- Fiscal administration

3. Sources of public revenue

Tax revenue

Compulsory payments without direct benefit.

Types

- **Direct taxes** – income tax, corporate tax
- **Indirect taxes** – GST, customs duty

Non-tax revenue

- Fees
- Fines
- Interest receipts
- Profits of public enterprises

4. Canons of taxation (Adam Smith)

Canon of equality

Tax burden should be fair.

Canon of certainty

Tax amount and time should be certain.

Canon of convenience

Tax should be collected conveniently.

Canon of economy

Cost of collection should be minimum.

5. Principle of maximum social advantage

Given by **Hugh Dalton**.

Government should tax and spend until:

- **Marginal social sacrifice = Marginal social benefit**

Meaning:

- Taxation causes sacrifice to taxpayers.
- Public expenditure gives benefit to society.
- Best fiscal policy is where net social benefit becomes maximum.

6. Importance

- Basis of modern welfare finance
- Helps proper allocation of resources
- Promotes social welfare

Conclusion

Public finance is essential for welfare-oriented government. Proper taxation and public expenditure aim at maximum social welfare.

Unit IV — Important Question

Q4. Explain public debt, fiscal policy, Indian federal finance, and deficit financing.

Answer

1. Public debt

Public debt means borrowing by government from internal or external sources.

Classification

Internal debt

Borrowing within the country. Examples:

- Government securities
- Treasury bills

External debt

Borrowing from foreign governments or institutions.

Effects of public debt

- Helps development projects
- Useful in emergencies
- May increase future tax burden
- Can cause inflation if excessive

Debt management

- Productive use of borrowed funds
- Timely repayment
- Maintaining sustainable debt level

2. Fiscal policy

Fiscal policy means government policy regarding taxation and expenditure.

Objectives

- Economic growth
- Price stability
- Employment generation
- Reduction of inequalities
- Balanced regional development

Instruments

- Taxation
- Public expenditure
- Public borrowing

3. Indian federal finance

India has financial relations between **Central Government** and **State Governments**.

Finance Commission

Constitutional body.

Functions

- Distribution of tax revenue between centre and states
- Grants-in-aid recommendations
- Measures to improve state finances

4. Deficit financing

Deficit financing means government expenditure exceeds revenue.

Uses

- Development expenditure
- Economic stimulus

Advantages

- Helps growth
- Generates employment

Disadvantages

- Inflationary tendency
- Excessive public debt

5. Union Budget

Annual statement of government estimated receipts and expenditure.

Conclusion

Public debt, fiscal policy and deficit financing are important tools of public finance. Their proper use promotes growth and stability.

High-Probability Additional 15-Mark Questions

- Explain causes, effects and remedies of inflation in India.
- Discuss industrial policy resolutions of 1948, 1956, 1977 and 1991.
- Explain land reforms in India and evaluate their success.
- Explain incidence of taxation and effects of taxation.
- Discuss Wagner’s Law and Wiseman-Peacock hypothesis.
- Explain social security in India.
- Discuss public expenditure and its effects on production and distribution.